Management's Discussion and Analysis

February 27, 2012

THE BUSINESS

Canada Bread Company, Limited ("Canada Bread" or the "Company"), 90.0% owned by Maple Leaf Foods Inc. ("Maple Leaf Foods"), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products, and fresh pasta and sauces. The Company employs approximately 6,000 people at its operations across North America and in the U.K.

OPERATING SEGMENTS

The Company reports in two segments: Fresh Bakery and Frozen Bakery.

The Fresh Bakery segment produces fresh bakery products, sweet goods, and specialty fresh pasta and sauces. The Frozen Bakery segment is comprised of frozen par-baked bakery products sold in North America and the U.K. bakery business which specializes in bagels, croissants, and specialty breads.

FINANCIAL OVERVIEW

2011 sales were $1,595.5 million compared to $1,588.4 million last year. After adjusting for the impacts of the sale of the Company's fresh sandwich product line in February 2011 and currency translation on U.K. and U.S. sales from a stronger Canadian dollar, sales increased by 3.4% compared to last year, mostly due to price increases implemented in the first half of 2011. This benefit was slightly offset by lower sales volumes in the fresh bakery and North American frozen bakery businesses.

Adjusted Operating Earnings[(1)] declined 1.6% to $109.8 million in 2011, compared to $111.5 million last year. Margins were compressed as the price increases implemented earlier in 2011 were not sufficient to fully recover increased raw material and other inflationary costs. Although the Company benefited from operating efficiencies generated from network optimization initiatives in the frozen bakery business and reduced selling, general and administrative expenses, earnings were also impacted by the duplicative overhead costs related to its new fresh bakery in Hamilton, Ontario, and by costs due to supply chain disruptions related to the installation of SAP in the fresh bakery Western Canada operations during the fourth quarter.

In February of 2011, the Company completed the sale of its fresh sandwich product line for $8.0 million, and as a result earnings improved versus last year as this business incurred losses during 2010.

Adjusted Earnings per Share[(2)] increased to $3.43 per share in 2011 from $2.90 per share last year, and included $0.38 per share related to a tax adjustment associated with a prior acquisition.

Net earnings in 2011 were $52.0 million ($2.04 basic earnings per share) compared to $62.1 million ($2.44 basic earnings per share) last year and included $46.4 million pre-tax restructuring costs (2010: $15.5 million).

Notes:

(1) Adjusted Operating Earnings are defined as earnings from operations before restructuring and other related costs and other income (expense).

(2) Adjusted Earnings per Share ("Adjusted EPS") are defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax.

Please refer to the section entitled "Non-IFRS Financial Measures" starting on page 30 of this Management's Discussion and Analysis for a description and reconciliation of all non-IFRS financial measures.

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SELECTED FINANCIAL INFORMATION

The following table summarizes selected financial information for the three years ended December 31, 2011:

($ millions except earnings per share ("EPS") figures)	**2011**	2010	2009[ii]
Sales	**$ 1,595.5**	$ 1,588.4	$ 1,705.8
Adjusted Operating Earnings[i]	**$ 109.8**	$ 111.5	$ 120.5
Net earnings	**$ 52.0**	$ 62.1	$ 77.5
Basic and diluted EPS	**$ 2.04**	$ 2.44	$ 3.05
Adjusted EPS[i]	**$ 3.43**	$ 2.90	$ 3.20
Total assets	**$ 964.5**	$ 912.9	$ 986.4
Net Debt (Cash)[i]	**$ (52.0)**	$ (72.7)	$ (50.9)
Total long-term liabilities	**$ 78.9**	$ 68.9	$ 44.4
Return on Net Assets ("RONA")[i]	**10.3%**	12.6%	10.2%
Cash provided by operating activities	**$ 103.1**	$ 90.9	$ 109.0
Cash dividends per share	**$ 0.66**	$ 0.24	$ 0.24

(i) Please refer to the section entitled Non-IFRS Financial Measures starting on page 30 of this document for a description of all non-IFRS financial measures.

(ii) 2009 figures are in accordance with Canadian Generally Accepted Accounting Principles ("GAAP"), effective on or before January 1, 2010.

DISCUSSION OF FACTORS IMPACTING THE COMPANY'S OPERATIONS AND RESULTS

Fluctuating Input Prices

Changes in input prices have a significant influence on business performance for both the Company and the food industry. Wheat, dairy products and fuel constitute the primary input costs in the Company's operations, and as a result of substantial increases in 2011, placed significant pressure on the Company's profit margins during the year.

The price of wheat has been very volatile over the past several years. Wheat prices have recently been influenced by many factors, including, but not limited to:

- Changing demand from export markets
- Crop yields and supply shortfalls
- "Food for Fuel" initiatives sponsored by the U.S. government that have resulted in increased demand for grains, in particular corn that is used for ethanol production, and decreased land set aside for other crops such as wheat

Beginning in 2007, strong demand from export markets and shortfalls in world crops led to sharp increases in wheat prices that reached peak levels in mid-2008. Towards the end of 2008, prices started to decline, and remained lower throughout 2009 compared to 2008. In the second half of 2010, wheat prices rose by approximately 75%. That trend continued in the first six months of 2011, and despite some small declines in the second half of the year, prices remained at a relatively high level for the remainder of 2011.

Crude oil prices rose steadily in 2010 and remained at high levels throughout 2011, which increased freight, manufacturing and other indirect costs such as packaging materials.

The pace of the wheat price increases in 2010 and 2011, together with increases in other commodities such as fuel and dairy products, led to significant margin pressures across the Company's operations. Price increases were implemented in all bakery operations in early 2011 and forward contracts were utilized to provide some protection against the effects of higher wheat costs; however, the Company was not able to recover all cost increases during the year. The stronger Canadian dollar in 2011 somewhat reduced prices paid for U.S. dollar-denominated flour.

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The following tables outline the changes in key commodity indicators that have impacted the Company's business and financial results:

Wheat (USD per bushel)[(i)]	As at December 31	Annual average	Q1 average	Q2 average	Q3 average	Q4 average
2011	**$ 8.50**	**$ 9.07**	$ 9.21	$ 9.46	$ 8.77	$ 8.84
2010	**$ 8.82**	**$ 6.23**	$ 5.15	$ 5.13	$ 6.82	$ 7.81
Change	**(3.6)%**	**45.6%**	78.8%	84.4%	28.6%	13.2%
2009	**$ 5.45**	**$ 6.06**	$ 6.32	$ 6.92	$ 5.61	$ 5.41

(i) Daily close prices (Source: Minneapolis Wheat Exchange)

Wheat (CAD per bushel)[(i)]	As at December 31	Annual average	Q1 average	Q2 average	Q3 average	Q4 average
2011	**$ 8.64**	**$ 8.97**	$ 9.08	$ 9.15	$ 8.60	$ 9.04
2010	**$ 8.87**	**$ 6.40**	$ 5.36	$ 5.27	$ 7.11	$ 7.88
Change	**(2.6)%**	**40.2%**	69.4%	73.6%	21.0%	14.7%
2009	**$ 5.73**	**$ 6.83**	$ 7.61	$ 7.85	$ 6.14	$ 5.62

(i) Daily close prices (Source: Minneapolis Wheat Exchange and Bank of Canada)

Oil (USD per barrel)[(i)]	As at December 31	Annual average	Q1 average	Q2 average	Q3 average	Q4 average
2011	**$ 98.83**	**$ 94.88**	$ 93.54	$ 102.23	$ 89.72	$ 94.01
2010	**$ 91.38**	**$ 79.48**	$ 78.64	$ 77.79	$ 76.05	$ 85.10
Change	**8.2%**	**19.4%**	18.9%	31.4%	18.0%	10.5%
2009	**$ 79.39**	**$ 61.95**	$ 42.91	$ 59.44	$ 68.20	$ 76.06

(i) Daily close prices (Source: Cushing, OK WTI Spot Prices FOB)

USD/CAD exchange rates[(i)]	As at December 31	Annual average	Q1 average	Q2 average	Q3 average	Q4 average
2011	**$ 0.9833**	**$ 1.0117**	$ 1.0146	$ 1.0332	$ 1.0202	$ 0.9777
2010	**$ 1.0054**	**$ 0.9709**	$ 0.9618	$ 0.9729	$ 0.9622	$ 0.9871
Change	**(2.2)%**	**4.2%**	5.5%	6.2%	6.0%	(1.0)%
2009	**$ 0.9515**	**$ 0.8797**	$ 0.8039	$ 0.8584	$ 0.9113	$ 0.9461

(i) Daily close prices (Source: Bank of Canada)

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SUPPLY CHAIN STRATEGY

Canada Bread has established leading market shares through a number of acquisitions in North America and the U.K.

To maintain earnings growth, Management has determined that opportunities exist to increase supply chain efficiencies, by consolidating production from several older and smaller bakeries into focused centres of excellence.

In the Fresh Bakery operations, an extensive network of mid-sized facilities located across Canada creates the opportunity to consolidate some plants to drive scale efficiencies and provide additional capacity to support innovation and category expansion. As a result, in January 2010, the Company announced plans to build a new scale fresh bakery plant in southwestern Ontario, replacing three existing older and smaller facilities located in that region. In mid-2011, the Company commissioned this state-of-the-art 385,000 square foot fresh bakery in Hamilton, Ontario, employing some 300 people. The facility began shipping product in July and now has four of eight planned lines operating. Three bakeries in the Greater Toronto Area are being closed to consolidate production into the Hamilton facility. Two bakeries closed in the first quarter of 2012, and the remaining bakery is expected to close in early 2013. The concurrent operation of the new and existing bakeries during this transition period resulted in $6.1 million of duplicative overhead costs during 2011. The Company expects to incur further duplicative overhead costs during 2012, but to a lesser degree than in 2011. These costs are consistent with Management expectations. Also to increase plant network efficiencies, during the fourth quarter of 2011, the Fresh Bakery business decommissioned and transferred production from its Delta, British Columbia, plant to its other bakeries in Langley, British Columbia, and Edmonton, Alberta.

The Company also has an opportunity to streamline supply chain operations in its Frozen Bakery business. In March, 2011 the Company closed its frozen bakery plant in Laval, Quebec, and transferred production to other facilities. In the U.K., the Company is consolidating production from several smaller facilities to reduce costs and gain scale efficiencies.

SYSTEM CONVERSION

The Company has embarked on an initiative to consolidate its information technology systems onto a single platform, in order to standardize processes, reduce costs and enable a shared services structure. Management selected SAP software as its new platform and has since taken a rapid, yet carefully designed, approach to implementation. Successful execution has been enabled by changing existing businesses to standardized SAP processes, limiting any software modifications and rigorous master data controls. By the end of 2011, SAP had been fully installed across the entire North American frozen bakery operation, as well as numerous sites within the fresh bakery business including the Atlantic Region, Western Region and the new scale facility in Hamilton. While Management is pleased with progress to date, the Company did experience some challenges with the implementation of SAP in its fresh bakery Western Canada operations during the fourth quarter of 2011. Management has materially resolved these issues, and the project continues on track to be completed in 2013.

OPERATING REVIEW

The following table summarizes sales by business segment:

($ millions)	**2011**[(i)]	2010	Change	2009[(ii)]
Fresh Bakery	**$ 1,087.3**	$ 1,086.8	0.0%	$ 1,119.8
Frozen Bakery	**$ 508.1**	$ 501.6	1.3%	$ 586.0
Total sales	**$ 1,595.5**	$ 1,588.4	0.4%	$ 1,705.8

(i) May not add due to rounding.

(ii) 2009 figures are in accordance with Canadian GAAP, effective on or before January 1, 2010.

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The following table summarizes Adjusted Operating Earnings by business segment:

($ millions)		**2011**		2010[(i)]	Change		2009[(ii)]
Fresh Bakery	$	**99.9**	$	100.2	(0.3)%	$	91.5
Frozen Bakery	$	**9.9**	$	11.4	(12.6)%	$	29.0
Adjusted Operating Earnings	$	**109.8**	$	111.5	(1.6)%	$	120.5

(i) May not add due to rounding.

(ii) 2009 figures are in accordance with Canadian GAAP, effective on or before January 1, 2010.

Fresh Bakery

Includes fresh bakery products, including breads, rolls, bagels, sweet goods, and fresh pasta and sauces sold to retail, foodservice and convenience channels. It includes national brands such as Dempster's® and Olivieri® and many leading regional brands.

Fresh Bakery sales were $1,087.3 million in 2011, compared to $1,086.8 million in 2010. After adjusting for the sale of the Company's fresh sandwich product line in February 2011, sales increased 3.6%, primarily due to price increases implemented earlier in 2011. This increase was slightly offset by lower sales volumes.

Adjusted Operating Earnings in 2011 were $99.9 million compared to $100.2 million last year. Lower margins in 2011 reflect the Company's exposure to higher input costs, in particular during the first quarter of the year when pricing lagged the increase in wheat and other inflationary costs. Margins were further affected by approximately $6.1 million of duplicative overhead costs associated with the commissioning of the Company's new fresh bakery in Hamilton, Ontario, in the second half of 2011, and by approximately $2.5 million in costs due to supply chain disruptions related to the installation of SAP in Western Canada during the fourth quarter. These factors were partly offset by cost reduction initiatives in selling, general and administrative expenses, and from the sale of the Company's fresh sandwich product line in February 2011, which incurred losses in 2010.

During the year, the Company continued to operate three smaller bakeries in the Greater Toronto Area as it gradually consolidates production to its new fresh bakery in Hamilton, Ontario. During this period the Company is incurring incremental overhead costs, which will be eliminated once all three bakeries are closed. Two of these plants closed in the first quarter of 2012, and the remaining bakery is scheduled to close in early 2013. The Company expects to incur further duplicative overhead costs during 2012, but to a lesser degree than in 2011. These duplicative costs are consistent with Management expectations.

The incremental costs related to the SAP implementation primarily affected the fourth quarter as they were specific to disruptions related to installation of the system in Western Canada, and are not expected to materially impact 2012.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co™.

Frozen Bakery sales increased by 1.3% to $508.1 million from $501.6 million in 2010. Excluding the unfavourable effects of a stronger Canadian dollar on the translation of sales in the U.K. and U.S., sales increased 2.8%, predominantly as a result of price increases implemented earlier in 2011. Volumes remained consistent year-over-year, as increased sales in the U.K. led by the successful re-launch of the Company's New York Bakery bagels were partly offset by declines in other categories. Volumes were lower in the North American frozen bakery business.

Adjusted Operating Earnings in Frozen Bakery for 2011 were $9.9 million compared to $11.4 million last year. The reduction in earnings was primarily due to higher raw material costs that were not fully covered through price increases and lower operating costs. In response, Management intends to implement further price increases commencing in early 2012. During the year, the Company benefited from efficiency gains from the closure of the North American frozen bakery in Laval, Quebec, the consolidation of production in the U.K., and the effect of a stronger Canadian dollar on the translation of costs in the U.S. and U.K. Cost reductions in selling, general and administrative expenses also reduced

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the impact of higher raw material costs. In the fourth quarter, the Company decided that it will close its manufacturing of morning goods and specialty bakery products, and expects to incur approximately $12.7 million in pre-tax restructuring and other related costs, $6.8 million of which will be cash expenses.

GROSS MARGIN

Gross margin decreased to $311.0 million (19.5% of sales) in 2011, from $333.2 million (21.0% of sales) last year, driven primarily by higher raw material costs and overall inflation that were not fully recovered through pricing. Margins were further impacted in the Fresh Bakery business as a result of duplicative overhead costs as the Company transfers production from three sub-scale facilities to its new bakery in Hamilton, Ontario, and costs due to disruptions related to the installation of SAP in the fresh bakery Western Canada operations.

SELLING, GENERAL AND ADMINISTRATIVE EXPENSES

Selling, general and administrative expenses in 2011 decreased 9.2% to $201.2 million from $221.7 million last year, representing 12.6% and 14.0% of sales respectively. This significant decrease was driven by cost reductions implemented earlier in the year, in both the Fresh Bakery and the Frozen Bakery businesses. In addition, advertising and promotional costs declined in 2011 due to timing of marketing and new product promotions. These promotional cost reductions were partly offset by higher investments in the U.K. to support the re-launch of the Company's New York Bakery bagels during the first half of the year. The divestiture of the sandwich product line in the first quarter of 2011 further contributed to lower expenses.

OTHER INCOME / EXPENSE

Other income for the year was $0.4 million compared to other expense of $5.8 million in 2010. Other expense in the prior year was mostly related to the recognition of losses on interest rate swaps.

RESTRUCTURING AND OTHER RELATED COSTS

During the year ended December 31, 2011, the Company recorded restructuring and other related costs of $46.4 million ($35.3 million after-tax).

Of this amount, $24.2 million was incurred by the U.K. bakery business, related to the closure of the Walsall, Cumbria and Park Royal plants. These costs include severance of $4.0 million, lease cancellation charges of $7.8 million, asset write downs and accelerated depreciation of $11.7 million, and other costs of $0.7 million. The Company also incurred $9.3 million in restructuring costs related to the closure of the Laval, Quebec, frozen bakery and the Delta, British Columbia, fresh bakery, and $2.9 million of restructuring costs related to the sale of the sandwich product line. The Company also recorded $7.5 million in restructuring costs for initiatives across the Company related to changes in management structure and related severances. The balance of the restructuring costs of $2.5 million was incurred in connection with other ongoing restructuring initiatives of the Company.

During the year ended December 31, 2010, the Company recorded restructuring and other related costs of $15.5 million ($11.6 million after-tax). Of this pre-tax amount, $10.4 million related to the Company's announcement to consolidate several fresh bakery facilities into one new bakery in Ontario. In addition, $2.0 million of these costs related to the realignments of the U.K. bakery operations. The Company also incurred $1.1 million in restructuring costs related to the sale of a fresh prepared foods facility in Quebec. The balance of the restructuring costs was incurred in connection with the ongoing restructuring initiatives of the Company.

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The following table provides a summary of costs recognized and cash payments made in respect of the above-mentioned restructuring and other related costs as at December 31, 2011 and December 31, 2010 all on a pre-tax basis:

	Severance	Site closing	Asset impairment and accelerated depreciation	Retention	Pension	Total
Balance at January 1, 2011	**$ 11,228**	**$ 1,456**	**$ –**	**$ 384**	**$ –**	**$ 13,068**
Charges	**15,299**	**9,027**	**21,011**	**1,020**	**–**	**46,357**
Cash payments	**(11,552)**	**(2,365)**	**–**	**(208)**	**–**	**(14,125)**
Non-cash items	**–**	**(1,342)**	**(21,011)**	**–**	**–**	**(22,353)**
Balance at December 31, 2011	**$ 14,975**	**$ 6,776**	**$ –**	**$ 1,196**	**$ –**	**$ 22,947**

	Severance	Site closing	Asset impairment and accelerated depreciation	Retention	Pension	Total
Balance at January 1, 2010	$ 2,272	$ 1,647	$ –	$ –	$ –	$ 3,919
Charges	11,721	1,529	1,614	384	300	15,548
Cash payments	(2,267)	(1,720)	–	–	–	(3,987)
Non-cash items	(498)	–	(1,614)	–	(300)	(2,412)
Balance at December 31, 2010	$ 11,228	$ 1,456	$ –	$ 384	$ –	$ 13,068

INTEREST EXPENSE

Interest expense for the year was $1.1 million compared to $2.9 million last year. The decrease in interest expense is primarily due to amortization of terminated interest rate swaps in the prior year. The Company's average effective cost of borrowing for 2011 was approximately 3.8% (2010: 5.5%).

INCOME TAXES

The Company's income tax expense was comprised of tax on earnings from operations before restructuring charges and other related costs at a rate of 20.0% (2010: 28.4%) and taxes recoverable on restructuring and other related costs at a rate of 23.8% (2010: 25.4%). The lower tax rate on operating earnings was a result of the Company recording income tax reductions aggregating $12.4 million for the year, primarily comprised of adjustments arising from a prior acquisition in its fresh bakery business. The Company's effective tax rate for the year before these adjustments was 31.4%.

TRANSACTIONS WITH RELATED PARTIES

The Company's majority shareholder, Maple Leaf Foods, and its affiliates, other than the Company and its affiliates, are related parties. It is the Company's policy to conduct all transactions and settle all balances with related parties on arm's length terms and conditions.

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Fees paid to Maple Leaf Foods in 2011 for the following services were $47.4 million (2010: $50.5 million).

General Services

Maple Leaf Foods provides the Company with certain management services, including treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, public relations, corporate secretarial, legal, insurance, human resources, provision of stock awards programs, Six Sigma, senior Maple Leaf Foods management time for operating involvement, merger and acquisition transactions, and access to bulk purchasing programs. Fees paid to Maple Leaf Foods in 2011 for these services pursuant to a Management and Affiliation Agreement entered into in August 1995 were $13.7 million (2010: $15.4 million).

Information Systems Services

During 2011, the Company received certain information system services from Maple Leaf Foods for a cost of $23.6 million (2010: $25.2 million). The decrease was the result of the completion of the centralization of all information systems support teams to Maple Leaf Foods, and charges in respect of the Company's SAP information system which occurred in 2010. Purchase of licenses, capitalization of implementation costs and operating costs related to the SAP program are all financed and paid by Maple Leaf Foods. These costs are charged back over the useful life of the related systems based on when the systems become available for use in the Company.

Engineering Services

During 2011, the Company received certain engineering services from Maple Leaf Foods for a cost of $1.9 million (2010: $1.1 million). The increase was directly related to higher levels of engineering required in the construction of the Company's new bakery in Hamilton, Ontario.

Marketing Services

During 2011, the Company received certain marketing and consumer services from Maple Leaf Foods for a cost of $3.7 million (2010: $3.4 million). The increase in marketing and consumer services mainly reflects the Company's increased focus on developing and launching new products, and incremental usage of central marketing services.

Six Sigma Services

During 2011, Six Sigma fees charged to the Company amounted to $4.5 million (2010: $5.4 million). In 2010, all Six Sigma resources were transferred from the Company to Maple Leaf Foods, and resources are provided to the Company from the central pool, while education, management and administrative resources related to Six Sigma continue to be incurred by Maple Leaf Foods and charged back to the Company.

Logistics

Day & Ross Transportation Group, a subsidiary of McCain Foods Limited, was a related party to the Company until December 2, 2011. For the period of the year that Day & Ross Transportation Group was a related party, the Company paid Day & Ross Transportation Group $2.2 million (for the year ended December 31, 2010: $1.6 million) for services in the normal course of business and at market prices. Trade payables to Day & Ross Transportation Group as at December 31, 2010 were $0.2 million and as at January 1, 2010 were $0.1 million.

Other Items

The Company has a $250.0 million revolving debt facility with Maple Leaf Foods to provide liquidity for general corporate purposes, repayable on June 30, 2012. This is described more fully in Note 12 in the consolidated financial statements.

The Company sponsors a number of defined benefit and defined contribution plans as described in Note 8 in the consolidated financial statements. The Company's contributions to these plans were $13.1 million in 2011 (2010: $11.1 million).

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the Company, directly or indirectly, including any external directors of the Company.

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Remuneration of key management of the Company was comprised of the following expenses:

($ thousands)	**2011**	2010
Short-term employee benefits		
Salaries, bonuses and fees	**$ 6,358**	$ 6,443
Company car allowance	**153**	150
Other benefits	**68**	68
Total short-term employee benefits	**6,579**	6,661
Post-employment benefits	**372**	326
Share-based benefits[(i)]	**4,697**	3,728
Total remuneration	**$ 11,648**	$ 10,715

(i) The share-based benefits were granted by the Company's parent company.

During 2011, key management of the Company did not exercise any share options granted under this plan (2010: 70,000 options were exercised with total exercise price of $0.7 million).

On October 27, 2010, the Company finalized a $60.0 million accounts receivable securitization facility for a term of three years that replaced the previous accounts receivable financing facility. As a result of the new facility, the remaining unrealized derivative losses of $5.9 million related to two interest rate swaps in accumulated other comprehensive loss was charged to earnings in the fourth quarter of 2010. The counterparty of these interest rate swaps was Maple Leaf Foods.

GOVERNMENT INCENTIVES

During 2010, the Company received an interest free loan of $2.0 million from the Federal Economic Development Agency related to the construction of the new bakery in Hamilton, Ontario. The loan is repayable over a period of five years beginning in 2012. The Company received other incentives totalling $0.2 million in 2010. These incentives were recorded as reductions of cost of goods sold in the consolidated statements of earnings.

ACQUISITIONS AND DIVESTITURES

On September 30, 2011, the Company acquired the business of Humber Valley Bakery, a small fresh bakery in Newfoundland for $0.6 million, with the value assigned to intangibles and customer relationships. The Company incorporated the production into its existing facilities.

On April 11, 2011 the Company completed the sale of a bakery facility in Cumbria, U.K., which resulted in cash restructuring costs of $0.3 million.

On February 18, 2011, the Company completed the sale of substantially all the remaining assets that comprised its sandwich product line to Premium Brands Inc., a Canadian manufacturer of food products, for $8.0 million. The transaction resulted in total restructuring costs of $2.9 million, of which $0.6 million were cash costs, and a gain on sale of $0.9 million. As part of the conversion to International Financial Reporting Standards ("IFRS"), on January 1, 2010 the Company recognized a goodwill impairment adjustment of $30.2 million.

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CAPITAL RESOURCES

Historically, the Company has generated a significant amount of operating cash flow that has more than covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide funding and surplus liquidity.

The Company is exposed to fluctuations in the prices of raw materials, seasonal and other market-related price changes, particularly wheat costs. Due to the high sales volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements will be funded from operating cash flow and from existing credit facilities. Management is of the opinion that its operating cash flow and existing credit facilities provide the Company with sufficient resources to finance ongoing business requirements and its planned capital investment program for at least the next 12 months.

As at December 31, 2011, the Company and its subsidiaries had aggregate undrawn credit facilities, excluding accounts receivable securitization programs, of $273.8 million (2010: $289.4 million), and available cash of $56.1 million (2010: $76.6 million). There were $9.8 million in letters of credit outstanding as at December 31, 2011 (2010: $9.1 million).

The Company's principal facility is a $250.0 million revolving term facility with Maple Leaf Foods Inc., which matured on December 27, 2011 and was extended for a six-month period to June 30, 2012. The Company expects to begin negotiations to renew the facility in the second quarter of 2012. The unsecured facility is subject to certain financial covenants. As at December 31, 2011, the Company was in compliance with all of its financial covenants.

To access competitively priced financing, and to further diversify its funding sources, the Company entered into a three-year committed accounts receivable securitization facility in October 2010. This program replaced the existing accounts receivable financing facility. Under the new facility, the Company sells certain accounts receivable, with very limited recourse, to an entity owned by an international financial institution with a long-term debt rating of AAA. The receivables are sold at a discount to face value based on prevailing money market rates. At year end, the Company had $91.1 million (2010: $83.6 million) of trade accounts receivable serviced under this facility. In return for the sale of its trade receivables, the Company received cash of $45.3 million (2010: $46.0 million) and a note receivable in the amount of $45.8 million (2010: $37.6 million). The maximum cash borrowings available to the Company under this program is $60.0 million.

The securitization facility is subject to certain restrictions and requires the maintenance of certain covenants. The Company was in compliance with all of the requirements of the facility during the year 2011. This facility was accounted for as an off-balance sheet transaction under Canadian GAAP and continues to be accounted for in the same manner under IFRS effective January 1, 2011.

CAPITAL EXPENDITURES

Capital expenditures in 2011 were $112.5 million, compared to $66.6 million last year. A significant portion was related to the construction of the new fresh bakery in Hamilton, Ontario, which began initial production in July 2011. In 2011, the Company spent $71.2 million on the new bakery and expects total investment to be in line with the initial estimate of approximately $100 million.

CASH FLOW AND FINANCING

Cash balances, net of debt, were $52.0 million at the end of the year, compared to $72.7 million as at December 31, 2010. The decrease in cash for the year is due to investment in property and equipment, and dividend payments, partly offset by cash flow from operations.

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Cash Flow from Operating Activities

Cash flow from continuing operations in 2011 was $103.1 million compared to $90.9 million last year. The increase is largely attributable to a reduced investment in non-cash operating working capital compared to last year and a decrease in cash tax payments.

Cash Flow from Financing Activities

Cash flow from financing activities was an outflow of $16.8 million in 2011 compared to an outflow of $4.1 million last year, due primarily to an increase in the quarterly dividend payment in the third quarter of 2011 compared to the prior year.

Cash Flow from Investing Activities

Cash flow from investing activities was an outflow of $106.9 million in 2011 compared to an outflow of $63.6 million last year, as a result of increased capital expenditures.

Capital expenditures for 2011 were $112.5 million compared to $66.6 million last year, primarily due to an investment in the new bakery facility in Hamilton, Ontario.

CONTRACTUAL OBLIGATIONS

The following is a summary of certain of the Company's material contractual obligations as at December 31, 2011:

Payments due by fiscal year:

($ millions)	**Total**	2012	2013	2014	2015	2016	Thereafter
Long-term debt[(i)]	**$ 4.1**	$ 2.5	$ 0.4	$ 0.3	$ 0.3	$ 0.3	$ 0.3
Lease obligations	**68.3**	19.4	14.2	10.0	7.2	4.9	12.6
Total contractual obligations	**$ 72.4**	$ 21.9	$ 14.6	$ 10.3	$ 7.5	$ 5.2	$ 12.9

(i) Does not include contractual interest payments.

As at December 31, 2011 the Company had entered into construction contracts of $8.8 million relating to the new bakery in Hamilton, Ontario.

Management is of the opinion that its cash flow and sources of financing provide the Company with sufficient resources to finance ongoing business requirements and its planned capital expenditure program for at least the next 12 months. Additional details concerning financing are set out in Notes 12 and 18 in the consolidated financial statements.

FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

Through the normal course of its business the Company is exposed to financial and market risks that have the potential to affect its operating results. In order to manage these risks, the Company operates under risk management policies and guidelines which govern the hedging of price and market risk in the foreign exchange, interest rate, and commodity markets, and funding and investing activities.

The Company engages in hedging to manage price and market risk associated with core operating exposures, and does not engage in significant trading activity of a speculative nature.

The Company's Risk Management Committee meets frequently to discuss current market conditions, and review current hedging programs and trading activity, and to approve any new hedging or trading strategies.

In order to limit the impact of market price fluctuations on operating results, core hedging programs are designated as hedging relationships and managed as part of the Company's hedge accounting portfolio.

Management's Discussion and Analysis

Capital

The Company's objective is to maintain a cost effective capital structure that supports its long-term growth strategy and maximizes operating flexibility. In allocating capital to investments to support its earnings goals, the Company establishes internal hurdle return rates for capital initiatives. Capital projects are generally financed with senior debt or internal cash flows.

The Company's goal is to maintain its primary credit ratios and leverage at levels that are designed to provide continued access to investment-grade credit pricing and terms.

The Company measures its credit profile using a number of metrics, some of which are non-IFRS measures, primarily net debt to earnings before interest, tax, depreciation and amortization ("EBITDA") and EBITDA to interest expense.

In addition to senior debt and equity, the Company uses operating leases and very limited recourse accounts receivable securitization programs as additional sources of financing.

The Company has maintained a dividend distribution that is based on a sustainable net earnings base.

For the year ended December 31, 2011, total equity increased by $24.6 million to $663.6 million. During the same period, total cash and cash equivalents net of debt decreased by $20.7 million from an asset position of $72.7 million to $52.0 million.

Credit Risk

Credit risk refers to the risk of losses due to failure of the Company's customers and counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectability of its trade and other receivables in order to mitigate any possible credit losses. As at December 31, 2011 approximately $0.6 million (2010: $0.4 million) of the Company's accounts receivable were greater than 60 days past due, primarily due to timing issues related to a process change. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individual exposures and a provision based on historical trends of collections. As at December 31, 2011, the Company has recorded an allowance for doubtful accounts of $1.9 million (2010: $2.1 million). There are no significant impaired accounts receivable that have not been provided for in the allowance for doubtful accounts. The Company believes that the allowance for uncollectible accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

Management believes concentrations of credit risk with respect to accounts receivable is limited due to the generally high credit quality of the Company's major customers, and the large number and geographic dispersion of smaller customers. The Company does, however, conduct a significant amount of business with large grocery retailers. The Company's three largest customers comprise approximately 41.0% (2010: 35.7%) of consolidated pre-securitized accounts receivable at December 31, 2011 and the two largest customers comprise approximately 30.8% (2010: 30.2%) of consolidated sales.

The Company is exposed to credit risk on its cash and cash equivalents (comprising primarily deposits and short-term placements with Canadian chartered banks) and non-exchange-traded derivatives contracts. The Company mitigates this credit risk by only dealing with counterparties that are major international financial institutions with long-term debt ratings of single A or better.

The Company's maximum exposure to credit risk at the balance sheet date consists primarily of the carrying value of non-derivative financial assets and non-exchange-traded derivatives with positive fair values.

Management's Discussion and Analysis

Liquidity Risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with its financial liabilities.

The Company manages liquidity risk by monitoring forecasted and actual cash flows, maintaining sufficient undrawn committed credit facilities and managing the maturity profiles of financial assets and financial liabilities to minimize re-financing risk.

As at December 31, 2011, the Company had available undrawn committed credit of $247.6 million under the terms of its principal credit facility with Maple Leaf Foods.

Market Risk

Interest Rate Risk

Interest rate risk refers to the risk that the value of a financial instrument or cash flows associated with the instrument will fluctuate due to changes in market interest rates.

The Company uses interest rate swaps, from time to time, to mitigate the risk from variable cash flows including the interest component associated with the securitization program by effectively converting certain variable rate borrowings to fixed-rate borrowings.

On October 27, 2010, the Company finalized a $60.0 million accounts receivable securitization facility for a term of three years that replaced the previous accounts receivable financing facility. As a result of the new facility, $5.9 million ($4.0 million after-tax) of unrealized derivative losses in accumulated other comprehensive loss was released to profit and loss.

As at December 31, 2011, 96.7% (2010: 97.2%) of the Company's outstanding debt and revolving accounts receivable securitization program was exposed to interest rate movements.

Foreign Exchange Risk

Foreign exchange risk refers to the risk that the value of financial instruments or cash flows associated with the instruments will fluctuate due to changes in foreign exchange rates. The Company enters into currency derivative agreements to manage its current and anticipated exposures in the foreign exchange markets.

The Company's foreign exchange risk arises primarily from transactions in currencies other than Canadian dollars. The primary currency that the Company is exposed to is the U.S. dollar through the purchase of wheat and through its U.S. operations.

The Company uses foreign exchange contracts to manage foreign exchange exposures. Qualifying derivative contracts in U.S. dollars are designated as hedges within the Company's hedge accounting portfolio, and are accounted for as cash flow hedges.

Commodity Price Risk

The Company is directly exposed to price fluctuations in commodities such as wheat, other agricultural products and fuel. In order to minimize the impact of these price fluctuations on the Company's operating results, the Company may use fixed price contracts with suppliers, exchange-traded futures and options, and over the counter derivatives products.

The Company applies the normal purchases classification to certain contracts that are entered into for the purpose of procuring wheat to be used in production within the normal course of business.

For a comprehensive discussion on the Company's risk management practices and derivative exposures, refer to the Financial Instruments Note 14 in the consolidated financial statements.

Management's Discussion and Analysis

SHARE CAPITAL AND DIVIDENDS

In 2011, the Company declared and paid cash dividends of $0.66 per qualifying common share (2010: $0.24), representing aggregate dividend payments of $16.8 million in 2011 (2010: $6.1 million).

As of December 31, 2011, there were 25,416,812 common shares of the Company issued and outstanding.

OTHER MATTERS

On February 27, 2012, Canada Bread declared a dividend of $0.20 per share payable on April 2, 2012 to shareholders of record at the close of business on March 12, 2012. Unless indicated otherwise by the Company in writing on or before the time the dividend is paid, this dividend will be considered an Eligible Dividend for the purposes of the "Enhanced Dividend Tax Credit System".

EMPLOYEE BENEFIT PLANS

The cost of pensions and other post-retirement benefits earned by employees is actuarially determined using the projected unit credit method calculated on service and Management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees and expected heath care costs. Management employs external experts to advise them when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses. These estimates are determined at the beginning of the year and re-evaluated if changes in estimates and market conditions indicate that there may be a significant effect on the Company's financial statements.

During 2011, due to a decrease in both discount rates and actual asset return rates, employee benefit liabilities reflected on the Company's balance sheet were re-valued. This resulted in an increase in employee benefit liabilities of $19.5 million (2010: $12.1 million). The effect of this adjustment was recorded by a $19.5 million, $14.4 million after-tax, decrease in other comprehensive income (2010: $12.1 million, $8.8 million after-tax). The adjustment further resulted in a reduction in deferred tax liability of $5.1 million (2010: $3.3 million) and a $14.4 million decrease in retained earnings (2010: $8.8 million).

Management considers that these adjustments, that were required to be made immediately under IFRS, as opposed to deferred and amortized under previous Canadian GAAP, were the result of significant market volatility that affected the valuation of plan assets and liabilities, and do not represent a permanent change in the long-term funded status of the Company's pension plans.

The Company operates both defined contribution and defined benefit plans. The assets of the defined benefit plans are invested primarily in foreign and domestic fixed income and equity securities that are subject to fluctuations in market prices. Discount rates used to measure plan liabilities are based on long-term market interest rates. Fluctuations in these market prices and rates can impact pension expense and funding requirements.

The Company's contributions are funded through cash flows generated from operations. Management anticipates that future cash flows from operations will be sufficient to fund expected future contributions. Contributions to defined benefit plans during 2011 were $8.3 million (2010: $6.2 million).

The Company plans to contribute $16.1 million to the pension plans in 2012, inclusive of defined contribution plans and the multi-employer plans.

Management's Discussion and Analysis

SUMMARY OF QUARTERLY RESULTS

The following is a summary of unaudited quarterly financial information (in thousands of dollars except per share information):

		First quarter	Second quarter	Third quarter	Fourth quarter	Full year
Sales[(i)]	**2011**	**$ 371,760**	**$ 406,245**	**$ 417,171**	**$ 400,280**	**$ 1,595,456**
	2010	381,932	402,062	411,364	393,079	1,588,437
	2009	413,125	435,918	424,555	432,190	1,705,788
Net earnings (loss)[(i)]	**2011**	**$ (966)**	**$ 14,904**	**$ 30,256**	**$ 7,757**	**$ 51,951**
	2010	12,969	20,949	14,313	13,841	62,072
	2009	14,882	22,537	25,050	15,009	77,478
Earnings (loss) per share						
Basic and diluted[(i), (ii)]	**2011**	**$ (0.04)**	**$ 0.59**	**$ 1.19**	**$ 0.31**	**$ 2.04**
	2010	0.51	0.82	0.56	0.54	2.44
	2009	0.59	0.89	0.99	0.59	3.05
Adjusted EPS[(i), (ii), (iii)]	**2011**	**$ 0.56**	**$ 0.97**	**$ 1.24**	**$ 0.67**	**$ 3.43**
	2010	0.56	0.85	0.87	0.62	2.90
	2009	0.60	0.89	1.00	0.70	3.20

(i) The 2011 and 2010 figures are in accordance with IFRS and the net earnings, earnings per share and adjusted earnings per share are based on amounts attributable to common shareholders. The remaining figures are in accordance with Canadian GAAP, effective on or before January 1, 2010.

(ii) May not add due to rounding.

(iii) Please refer to Non-IFRS Financial Measures starting on page 30.

Quarterly sales in 2011 were affected by the following significant items:

- price increases implemented to offset higher input costs
- the sale of the fresh sandwich product line at the beginning of 2011
- the appreciation of the Canadian dollar relative to the U.S. dollar and the British pound which reduced the sales value of frozen bakery products sold in the U.S. and U.K.
- lower sales volumes in the fresh bakery business and frozen bakery operations in the U.S.

Quarterly net earnings in 2011 were affected by the following significant items:

- timing of price increases implemented in 2011 relative to the rise of input costs
- increased advertising and promotion spending as a result of the re-launch of the New York Bakery brand in the U.K.
- the appreciation of the Canadian dollar relative to the U.S. dollar, which reduced the cost of U.S. dollar priced ingredients and to a lesser extent, lowered ingredient costs
- benefits from strategic and other cost reduction initiatives, including personnel reduction, network and product simplification, and the closure of a frozen bakery plant in Quebec
- duplicative overhead costs related to the new fresh bakery in Hamilton, Ontario
- supply chain disruptions related to the installation of SAP in the fresh bakery Western Canada operations in the fourth quarter
- restructuring and other related costs

Management's Discussion and Analysis

- income tax adjustments of $2.4 million in the first quarter and $9.8 million in the third quarter arising from a prior acquisition in its fresh bakery business, which resulted in a lower tax rate on operating earnings in the first and third quarters of 2011

Quarterly sales in 2010 were affected by the following significant items:

- the appreciation of the Canadian dollar relative to the U.S. dollar and the British pound which reduced the sales value of frozen bakery products sales in the U.S. and U.K.
- lower volumes, primarily frozen bakery products in the U.S. and U.K.

Quarterly net earnings in 2010 were affected by the following significant items:

- the appreciation of the Canadian dollar relative to the U.S. dollar, which reduced the cost of U.S. dollar priced ingredients and to a lesser extent, lowered ingredient costs
- increased spending to maintain market share in a competitive Canadian retail environment

For an explanation and analysis of quarterly results, refer to Management's Discussion and Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

SUMMARY OF 2011 FOURTH QUARTER RESULTS

The following is a summary of sales by business segment:

	Fourth Quarter			
($ thousands)		**2011**		2010
Fresh Bakery	**$**	**261,963**	$	261,876
Frozen Bakery	**$**	**138,317**	$	131,203
Sales	**$**	**400,280**	$	393,079

The following is a summary of Adjusted Operating Earnings by business segment:

	Fourth Quarter			
($ thousands)		**2011**		2010
Fresh Bakery	**$**	**19,463**	$	20,864
Frozen Bakery	**$**	**6,738**	$	6,566
Adjusted Operating Earnings[(i)]	**$**	**26,201**	$	27,430

(i) Please refer to the section entitled Reconciliation of Non-IFRS Financial Measures in the press release dated February 28, 2012 concerning the Company's financial results for the fourth quarter of 2011 for a description and reconciliation.

Sales for the fourth quarter of 2011 increased 1.8% to $400.3 million compared to $393.1 million last year. After adjusting for the sale of the Company's fresh sandwich product line in February 2011 and currency translation on sales in the U.S. and U.K., sales increased 4.0%, primarily due to price increases implemented earlier in 2011. This increase was slightly offset by a change in sales mix and lower sales volumes.

Adjusted Operating Earnings for the fourth quarter of 2011 were $26.2 million compared to $27.4 million in the prior year. Price increases implemented earlier in 2011 were not sufficient to fully offset higher raw material costs and overall inflation in the Frozen Bakery business. Earnings were also impacted by duplicative overhead costs related to the Company's new fresh bakery in Hamilton, Ontario, and some impacts due to supply chain disruptions related to the SAP implementation in the fresh bakery operations in Western Canada. These additional costs were partly offset by efficiency gains from network optimization initiatives in the Frozen Bakery operations and overall lower selling, general and administrative expenses due to cost reduction initiatives implemented earlier in 2011.

Management's Discussion and Analysis

Net earnings decreased to $7.8 million or $0.31 basic earnings per share in the fourth quarter of 2011 compared to net earnings of $13.8 million or $0.54 basic earnings per share last year. Restructuring costs in the quarter were $12.2 million (2010: $2.5 million) and related mostly to the consolidation of production in the U.K. operations.

ENVIRONMENT

The Company is committed to maintaining high standards of environmental responsibility and positive relationships in the communities where the Company operates. Each of its businesses operates within the framework of an environmental policy entitled "Our Environmental Commitment" that is approved by the Board of Directors' Corporate Governance and Human Resources Committee. The Company's environmental program is monitored on a regular basis by the Committee, including compliance with regulatory requirements, the use of internal environmental specialists and independent, external environmental experts. The Company continues to invest in environmental infrastructure related to water, waste and air emissions to ensure that environmental standards continue to be met or exceeded, while implementing procedures to reduce the impact of operations on the environment. Expenditures related to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company. However, there can be no assurance that certain events will not occur that will cause expenditures related to the environment to be significant and have a material adverse effect on the Company's financial condition or results of operations. Such events could include, but not be limited to, additional environmental regulation or the occurrence of an adverse event at one of the Company's locations.

As a food company, there are health, environmental and social issues that go beyond short-term profitability that Management believes must shape its business if the Company is to realize a sustainable future. On the environmental front, the Company is undertaking multiple initiatives in conjunction with key customers, to reduce packaging and track greenhouse gas emissions and the mileage it takes to produce and deliver food products. Increasingly, sound environmental practices are becoming a key component of maintaining a competitive advantage.

As part of its sustainability initiatives, the Company is in the final verification stages for LEED® certification at its new bakery in Hamilton, Ontario, which opened in 2011. LEED® stands for Leadership in Energy and Environmental Design and is widely recognized as a green building standard.

RISK FACTORS

The Company operates in the food processing sector, and is therefore subject to risks and uncertainties related to these businesses that may have adverse effects on the Company's results of operations and financial position. Some of these risks and uncertainties are outlined below. Prospective investors should carefully review and evaluate the following risk factors together with all of the other information contained in this document. The risk factors described below are not the only risk factors facing the Company. The Company may be subject to risks and uncertainties not described below that the Company is not presently aware of or that the Company may currently deem insignificant.

Systems Conversion and Standardization

The Company regularly implements process improvement initiatives to simplify and harmonize its systems and processes to optimize performance and reduce the risk of errors in financial reporting. The Company is currently undertaking an initiative to replace its information systems with SAP, an integrated ERP system. During the year, the Company completed the successful installation of the system in some business units. The transformation of these business systems and installation into all business units is expected to be substantially complete in 2012. The Company has dedicated considerable resources to the implementation of SAP and carefully designed an implementation plan to reduce operational disruptions. However, there can be no guarantee that the implementation will not disrupt the Company's operations or be completed within the identified period of time and budget. In addition, there cannot be any guarantee that the implementation will improve current processes or operating results or reduce the risk of errors in financial reporting. Any of these failures could have a material adverse impact on the Company's financial condition and results of operations.

Management's Discussion and Analysis

Foreign Currencies

A significant amount of the Company's revenues and costs are either denominated in or directly linked to foreign currencies (primarily U.S. dollars). Due to the diversity of the Company's operations, normal fluctuations in other currencies do not generally have a material impact on the Company's profitability in the short term due to either "natural hedges" and offsetting currency exposures (for example, when revenues and costs are both linked to other currencies) or ability in the near term to change prices of its products to offset adverse currency movements. As a result, currency fluctuations would not normally be considered a material risk to the Company. However, in periods when the Canadian dollar appreciates both rapidly and materially against the U.S. dollar, revenues linked to U.S. dollars are immediately reduced while the Company's ability to change prices or realize on natural hedges may lag the immediate currency changes. The effect of such sudden changes in exchange rates can have and has had a significant impact on the Company's earnings. Over time, the Company reduces this risk by realizing natural hedges, increasing prices or, where possible or necessary, reducing costs. However, these strategies may not always be successful. The Company's U.K. operations may also be affected in a similar manner, adversely or favourably, by changes in exchange rates between the U.S. and Canadian dollars, on the one hand, and the British pound on the other. Accordingly, these exchange rate fluctuations could have a material adverse effect on the Company's financial condition and results of operations.

Commodities

The Company is a purchaser of certain commodities, such as wheat and energy (fuel, natural gas and electricity), in the course of normal operations. Commodity prices are subject to fluctuation and such fluctuations are sometimes severe. The Company may use commodity futures and options for hedging purposes to reduce the effect of changing prices in the short-term but such hedges may not be successful in mitigating this commodity price risk and may in some circumstances subject the Company to loss. On a longer-term basis, the Company manages the risk of increases in commodities and other input costs by increasing the prices it charges to its customers. Any fluctuations in commodity prices that the Company is unable to properly hedge or mitigate could have a material adverse effect on the Company's financial condition and results of operations.

Consolidating Customer Environment

As the retail grocery and foodservice trades continue to consolidate and customers grow larger, the Company is required to adjust to changes in purchasing practices and changing customer requirements, as failure to do so could result in losing sales volumes and market share. The Company's net sales and profitability could also be affected by deterioration in the financial condition of, or other adverse developments in the relationship with, one or more of its major customers.

Capital Expansion Projects

In 2010, the Company commenced the construction of a large-scale facility designed to replace a number of smaller and older facilities. While construction is substantially complete, not all of the plants it is to replace have been closed and production has not been transferred to the new plant in such instances. The construction and start-up of a new plant and the closure of and transfer of production from existing plants presents a number of risks including: errors in the assessment of labour rates and other operating costs, failure to achieve operating cost efficiencies, cost overruns in construction, delays in completion of the project, disruptions to service levels during the construction period, loss of reputation with customers, and adverse impacts on the quality of the Company's products. As a result of the construction of this facility, the Company's operations will be more concentrated in a fewer number of facilities, resulting in the risk that any unforeseen disruption in such facilities could have a greater effect on the operations of the Company as a whole. In addition, as part of the plan, the Company has announced the closure of some existing plants. The closure of existing plants carries risks such as inaccurate assessments of the costs of decommissioning, disruptions in service during closure, and errors in the estimates of residual value of the assets. Altogether, these risks could result in a material adverse impact to the Company's financial condition and results of operations.

Management's Discussion and Analysis

Food Safety and Consumer Health

The Company is subject to risks that affect the food industry in general, including risks posed by food spoilage, accidental contamination, product tampering, consumer product liability, and the potential costs and disruptions of a product recall.

The Company's products are susceptible to contamination by disease-producing organisms or pathogens. Because these pathogens are generally found in the environment, there is a risk that they, as a result of food processing, could be present in the Company's products. The Company actively manages these risks by maintaining strict and rigorous controls and processes in its manufacturing facilities and distribution systems and by maintaining prudent levels of insurance. However, the Company cannot assure that such systems, even when working effectively, will eliminate the risks related to food safety. The Company could be required to recall certain of its products in the event of contamination, adverse test results or as precautionary measures. There is also a risk that not all of the product subject to the recall will be properly identified, that the recall will not be successful or not effected in a timely manner. Any product contamination could subject the Company to product liability claims, adverse publicity and government scrutiny, investigation or intervention, resulting in increased costs and decreased sales. Any of these events could have a material adverse impact on the Company's operations and financial results.

Business Acquisitions

While the Company's focus has been the integration of existing operations and supply chain optimization, the Company may continue to review opportunities for strategic growth through acquisitions in the future. These acquisitions may involve large transactions or realignment of existing investments and present financial, managerial and operational challenges, which if not successfully overcome may reduce the Company's profitability. These risks include the diversion of Management attention from existing core businesses, difficulties integrating or separating personnel and financial and other systems, adverse effects on existing business relationships with suppliers and customers, inaccurate estimates of the rate of return of acquisitions or investments, inaccurate estimates of fair value made in the accounting for acquisitions and amortization of acquired intangible assets, which would reduce future reported earnings, potential loss of customers or key employees of acquired businesses and indemnities and potential disputes with the buyers or sellers. Any of these items could materially affect the Company's product sales, financial condition and results of operations.

Regulation

The Company's operations are subject to extensive regulation by government agencies in the countries in which it operates, including the Canadian Food Inspection Agency and the Ministry of Agriculture in Canada. These agencies regulate the processing, packaging, storage, distribution, advertising and labelling of the Company's products, including food safety standards. The Company's manufacturing facilities and products are subject to inspection by federal, provincial and local authorities. The Company strives to maintain material compliance with all laws and regulations and maintains all material permits and licenses relating to its operations. Nevertheless, there can be no assurance that the Company is in compliance with such laws and regulations, has all necessary permits and licenses, and will be able to comply with such laws and regulations, permits and licenses in the future. Failure by the Company to comply with applicable laws and regulations and permits and licenses could subject the Company to civil remedies, including fines, injunctions, recalls or seizures, as well as potential criminal sanctions, which could have a material adverse effect on the Company's financial condition and results of operations. Various governments throughout the world are considering regulatory proposals relating to genetically modified organisms, drug residues in food ingredients, food safety, and market and environmental regulation that, if adopted, may increase the Company's costs. There can be no assurance that additional regulation will not be enacted. If any of these or other proposals are enacted, the Company could experience a disruption in the supply or distribution of its products, increased operating costs and significant additional costs for capital improvements. The Company may be unable to pass on the cost increases associated with such increased regulatory burden to its customers without incurring volume loss as a result of higher prices. Any of these events could have a material adverse effect on the Company's financial condition and results of operations.

Management's Discussion and Analysis

Legal Matters

In the normal course of its operations, the Company becomes involved in various legal actions relating to its commercial relationships, employment matters and product liabilities, among other things. The Company believes that the resolution of these claims will not have a material effect on the Company, based in part on the availability of insurance. However, the final outcome with respect to actions outstanding, pending or with respect to future claims cannot be predicted with certainty. Therefore, there can be no assurance that their resolution will not have a material adverse effect on the Company's financial condition or results of operations.

Consumer Trends

Success of the Company depends in part on the Company's ability to respond to market trends and produce innovative products that anticipate and respond to the changing tastes and dietary habits of consumers. From time to time, certain products are deemed more healthy or less healthy and this can impact consumer buying patterns. The Company's failure to anticipate, identify or react to these changes or to innovate could result in declining demand for the Company's products, which in turn could cause a material adverse effect on the Company's financial condition and results of operations.

Environmental Regulation

The Company's operations are subject to extensive environmental laws and regulations pertaining to the discharge of materials into the environment and the handling and disposition of wastes (including solid and hazardous wastes) or otherwise relating to protection of the environment. Failure to comply could have serious consequences, such as criminal as well as civil penalties, liability for damages and negative publicity for the Company. The Company has incurred and will continue to incur capital and operating expenditures to comply with such laws and regulations. No assurances can be given that additional environmental issues relating to presently known matters or identified sites, or to other matters or sites, will not require additional expenditures, or that requirements applicable to the Company will not be altered in ways that will require the Company to incur significant additional costs. In addition, certain of the Company's facilities have been in operation for many years and, over such time, the Company and other prior operators of such facilities may have generated and disposed of waste which is or may be considered to be hazardous. Future discovery of previously unknown contamination of property underlying or in the vicinity of the Company's present or former properties or manufacturing facilities and/or waste disposal sites could require the Company to incur material unforeseen expenses. Occurrences of any such events may have a material adverse effect on the Company's financial condition and results of operations.

Employment Matters

The Company and its subsidiaries have approximately 6,000 full- and part-time employees, which includes salaried and union employees, many of whom are covered by collective agreements. These employees are located in various jurisdictions around the world, each such jurisdiction having differing employment laws and practices and differing liabilities for employment violations, which may result in punitive or extraordinary damages. While the Company maintains systems and procedures to comply with the applicable requirements, there is a risk that failures or lapses by individual managers could result in a violation or cause of action that could have a material adverse effect on the Company's financial condition and results of operations. Furthermore, if a collective agreement covering a significant number of employees or involving certain key employees were to expire leading to a work stoppage, there can be no assurance that such work stoppage would not have a material adverse effect on the Company's financial condition and results of operations. The Company's success is also dependent on its ability to recruit and retain qualified personnel. The loss of one or more key personnel could have a material adverse effect on the Company's financial condition and results of operations.

Management's Discussion and Analysis

Pension Plan Assets and Liabilities

In the normal course of business, the Company provides post-retirement pension benefits to its employees under both defined contribution and defined benefit pension plan arrangements. The funded status of the plans significantly affects the net periodic benefit costs of the Company's pension plans and the ongoing funding requirements of those plans. Among other factors, changes in interest rates, mortality rates, early retirement rates, investment returns and the market value of plan assets can affect the level of plan funding, increase the Company's future funding requirements and cause volatility in the net periodic pension cost and the Company's financial results. Any increase in pension expense or funding requirements could have a material adverse impact on the Company's financial condition and results of operations.

Direct Store Delivery Disruptions

A significant portion of the Company's Fresh Bakery products are distributed through direct store delivery systems using independent distributors. Although appropriate contractual arrangements are in place with these distributors and the Company attempts to maintain good relations with its distributors, a negative change in the Company's relations with them, changes in regulations or an adverse ruling by regulatory agencies regarding the Company's independent distributorship program or claims against the Company for the actions of the independent distributors could materially affect the Company's results of operations and financial condition.

Competitive Industry Environment

The food industry is intensely competitive and in many product categories in which the Company operates there are low barriers to entry. Competition is based on product availability, product quality, price, effective promotions and the ability to target changing consumer preferences. The Company experiences price pressure from time to time as a result of a competitor's promotional efforts and in product categories and markets characterized by low capacity utilization. Increased competition could result in reduced sales, margins, profits and market share, all of which could have a material adverse impact on the Company's financial condition and results of operations.

Product Pricing

The Company's profitability is dependent in large part on the Company's ability to make pricing decisions regarding its products that on one hand encourage consumers to buy yet on the other hand recoup development and other costs associated with that product. Products that are priced too high will not sell and products priced too low will lower the Company's profit margins. Accordingly, any failure by the Company to properly price its products could have a material adverse effect on the Company's financial condition and results of operations.

Supply Chain Management

Successful management of the Company's supply chain is critical to the Company's success. Insufficient supply of products threatens the Company's ability to meet customer demands while over capacity threatens the Company's ability to generate competitive profit margins. Accordingly, any failure by the Company to properly manage the Company's supply chain could have a material adverse effect on the Company's financial condition and results of operations.

Strategic Risk Management

Successful identification and management of the strategic risks facing the Company from time to time is critical to the Company's success. Failure to properly adapt to changes in strategic risks (such as changes in technology, the food industry, customers, consumers and competitors, among other things) could have a material adverse effect on the Company's financial condition and results of operations.

Management's Discussion and Analysis

CRITICAL ACCOUNTING ESTIMATES

The preparation of consolidated financial statements in accordance with IFRS requires Management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual amounts may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognized in the consolidated financial statements are discussed below:

Goodwill and Intangible Assets Valuation

The values associated with other intangible assets and goodwill involve significant estimates and assumptions, including those with respect to future cash inflows and outflows, discount rates and asset lives. These estimates and assumptions could affect the Company's future results if the current estimates of future performance and fair values change. These determinations will affect the amount of amortization expense on definite life intangible assets recognized in future periods.

The Company assesses impairment by comparing the recoverable amount of an intangible asset or goodwill with its carrying value. The recoverable amount is defined as the higher of value in use, or fair value less cost to sell. The determination of the recoverable amount involves Management judgement and estimation.

Allowance for Bad Debts

The Company establishes an appropriate provision for uncollectible or doubtful accounts. Estimates of recoverable amounts are based on Management's best estimate of a customer's ability to settle its obligations, and actual amounts received may be affected by various factors, including changes in individual customer financial conditions. To the extent that actual losses on uncollectible accounts differ from those estimated in the Company's provision, both accounts receivable and net earnings will be affected.

Provisions for Inventory

Management makes estimates of the future customer demand for our products when establishing appropriate provisions for inventory. In making these estimates, Management considers product life of inventory and the profitability of recent sales of inventory. In many cases, product sold by the Company turns quickly and inventory on-hand values are lower, thus reducing the risk of material misstatement. Management ensures that systems are in place to highlight and properly value inventory that may be approaching best before code, or "best before" dates. To the extent that actual losses on inventory differ from those estimated, both inventory and net earnings will be affected.

Trade Merchandise Allowances and Other Trade Discounts

The Company provides for estimated payments to customers based on various trade programs and contracts that often include payments that are contingent upon attainment of specified sales volumes. Significant estimates used to determine these liabilities include the projected level of sales volume for the relevant period and the historical promotional expenditure rate compared to contracted rates. These arrangements are complex and there are a significant number of customers and products affected. Management has systems and processes in place to estimate and value these obligations. To the extent that payments on trade discounts differ from estimates of the related liability, both accrued liabilities and net earnings will be affected.

Employee Benefit Plans

The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected unit credit method prorated on service and Management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees, mortality rates and expected heath care costs. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan

Management's Discussion and Analysis

liabilities. Management employs external experts to advise the Company when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses.

Significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations and benefit plan expenses are as follows:

	2011	2010
Weighted average discount rate used to calculate net benefit plan expense	**5.00%**	5.75%
Weighted average discount rate used to calculate year-end benefit obligation	**4.50%**	5.00%
Expected long-term rate of return on plan assets	**7.25%**	7.25%
Rate of compensation increase	**3.50%**	3.50%
Medical cost trend rates	**6.50%**	7.00%

A 1% change in health care cost trend would not have a significant impact on the year-end obligation or the 2011 current service and interest costs.

($ thousands)	**1% increase**	**1% decrease**
Effect on end-of-year obligation	**$ 72**	**$ (63)**
Aggregate of 2011 current service cost and interest cost	**3**	**(3)**

Income Taxes

Provisions for income taxes are based on domestic and international statutory income tax rates and the amount of income earned in the jurisdictions in which the Company operates. Significant judgement is required in determining income tax provisions and the recoverability of deferred tax assets. The calculation of current and deferred income tax balances requires Management to make estimates regarding the carrying values of assets and liabilities that include estimates of future cash flows and earnings related to such assets and liabilities, the interpretation of income tax legislation in the jurisdictions in which the Company operates, and the timing of reversal of temporary differences. The Company establishes additional provisions for income taxes when, despite Management's opinion that the Company's tax positions are fully supportable, there is sufficient complexity or uncertainty in the application of legislation that certain tax positions may be reassessed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances.

Provisions

The Company evaluates all provisions at each reporting date. These provisions can be significant and are prepared using estimates of the costs of future activities. In certain instances, Management may determine that these provisions are no longer required. In certain circumstances, Management may determine that certain provisions are insufficient as new events occur or as additional information is obtained. Provisions are separately identified and disclosed in the Company's consolidated financial statements.

Depreciation and Amortization

The Company's property and equipment and definite life intangible assets are depreciated and amortized on a straight-line basis, taking into account the expected useful lives of the assets and residual values. Changes to these estimates may affect both the carrying value of these assets and net earnings.

Management's Discussion and Analysis

RECENT ACCOUNTING PRONOUNCEMENTS

Financial Instruments – Recognition and Measurement

In October 2010, the International Accounting Standards Board ("IASB") published amendments to IFRS 9 (IFRS 9 (2010)) which provides added guidance on the classification and measurement of financial liabilities. IFRS 9 (2010) supersedes IFRS 9 (2009) and is effective for annual periods beginning on or after January 1, 2015, with early adoption permitted. For annual periods beginning before January 1, 2015, either IFRS 9 (2009) or IFRS 9 (2010) may be applied. The Company intends to adopt IFRS 9 (2010) in its financial statements for the annual period beginning on January 1, 2015. The extent of the impact of adoption of IFRS 9 (2010) has not yet been determined.

Financial Instruments – Disclosures

In October 2010, the IASB issued amendments to IFRS 7*Disclosures Transfers of Financial Assets.* This amendment requires disclosure of information that enables users of financial statements to understand the relationship between transferred financial assets that are not derecognized in their entirety and the associated liabilities; and to evaluate the nature of, and risks associated with, the Company's continuing involvement in derecognized financial assets. This amendment is effective for annual periods beginning on or after January 1, 2012 and therefore the Company will apply the amendment in the first quarter of 2012. When applied, it is expected that the amendment to IFRS 7 will increase the current level of disclosure of transfers of financial assets.

Financial Assets and Liabilities

In December 2011 the IASB published amendments to IAS 32 *Offsetting Financial Assets and Financial Liabilities* and issued new disclosure requirements in IFRS 7 *Financial Instruments: Disclosures*. The effective date for the amendments to IAS 32 is annual periods beginning on or after January 1, 2014. The effective date for the amendments to IFRS 7 is annual periods beginning on or after January 1, 2013. These amendments are to be applied retrospectively.

The amendments to IAS 32 clarify when an entity has a legally enforceable right to offset as well as clarify when a settlement mechanism provides for net settlement or gross settlement that is equivalent to net settlement. The amendments to IFRS 7 contain new disclosure requirements for financial assets and liabilities that are offset in the statement of financial position or subject to master netting arrangements or similar arrangements. The Company intends to adopt the amendments to IFRS 7 in its financial statements for the annual period beginning on January 1, 2013, and the amendments to IAS 32 in its financial statements for the annual period beginning January 1, 2014. The extent of the impact of adoption of the amendments has not yet been determined.

Consolidated Financial Statements

In May 2011, the IASB issued IFRS 10 *Consolidated Financial Statements*. IFRS 10 replaces portions of IAS 27 *Consolidated Separate Financial Statements* that addresses consolidation, and supersedes SIC-12, *Consolidation - Special Purpose Entities ("SPE"),* in its entirety. IFRS 10 provides a single model to be applied in the analysis of control of all investees, including entities that currently are SPEs in the scope of SIC-12. In addition, the consolidation procedures specified in IFRS 10 are carried forward substantially unmodified from IAS 27.

Joint Arrangements

In May 2011, the IASB issued IFRS 11 *Joint Arrangements*. IFRS 11 supersedes IAS 31 *Interest in Joint Ventures* and SIC-13 *Jointly Controlled Entities - Non-Monetary Contributions by Venturers*. Through an assessment of the rights and obligations in an arrangement, IFRS 11 establishes principles to determine the type of joint arrangement, which are classified as either joint operations or joint ventures and provides guidance for financial reporting activities required by the entities that have an interest in arrangements that are controlled jointly. Investments in joint ventures are required to be accounted for using the equity method.

As a result of the issuance of IFRS 10 and IFRS 11, IAS 28 *Investments in Associates and Joint Ventures*, has been amended to correspond to the guidance provided in IFRS 10 and IFRS 11.

Management's Discussion and Analysis

Disclosure of Interests in Other Entities

In May 2011, the IASB issued IFRS 12 *Disclosure of Interests in Other Entities,* which contains disclosure requirements for companies that have interests in subsidiaries, joint arrangements, associates and unconsolidated structured entities.

IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are all effective for annual periods beginning on or after January 1, 2013. Early adoption is permitted, so long as IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are adopted at the same time. However, entities are permitted to incorporate any of the disclosure requirements in IFRS 12 into their financial statements without early adopting IFRS 10, IFRS 11, amendments to IAS 27 and IAS 28. The Company intends to adopt IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 in its consolidated financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 has not yet been determined.

Fair Value Measurement

In May 2011, the IASB published IFRS 13 *Fair Value Measurement*, which is effective prospectively for annual periods beginning on or after January 1, 2013. IFRS 13 replaces the fair value measurement guidance contained in individual IFRSs with a single source of fair value measurement guidance. The standard also establishes a framework for measuring fair value and sets out disclosure requirements for fair value measurements. The Company intends to adopt IFRS 13 prospectively in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 13 has not yet been determined.

Presentation of Financial Statements

In June 2011, the IASB published amendments to IAS 1 *Presentation of Financial Statements*, which are effective for annual periods beginning on or after July 1, 2012 and are to be applied retrospectively. Early adoption is permitted. The amendments require that a company present separately the items of Other Comprehensive Income that may be reclassified to profit or loss in the future from those that would never be reclassified to profit or loss. The Company intends to adopt the amendments in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of the amendments has not yet been determined.

Employee Benefits

In June 2011, the IASB published an amended version of IAS 19 *Employee Benefits*. Adoption of the amendment is required for annual periods beginning on or after January 1, 2013, with early adoption permitted. The amendment is generally applied retrospectively with certain exceptions. The amendment requires the calculation of expected return on plan assets to be based on the rate used to discount the defined benefit obligation. The amendments also require other additional disclosures. The Company intends to adopt the amendments in its financial statements for the annual period beginning on January 1, 2013. Where required, the Company will apply this amendment retrospectively. The extent of the impact of adoption of the amendments has not yet been determined.

Management's Discussion and Analysis

DISCLOSURE CONTROLS AND INTERNAL CONTROL OVER FINANCIAL REPORTING

The Company's disclosure controls and procedures are designed to provide reasonable assurance that material information relating to the Company, including its consolidated subsidiaries, is made known to Management in a timely manner so that information required to be disclosed by the Company under securities legislation is recorded, processed, summarized and reported within the time periods specified in applicable securities legislation.

The Company's Management, under the direction and supervision of the Company's Chief Executive Officer and Chief Financial Officer, are also responsible for establishing and maintaining internal control over financial reporting. These controls are designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with IFRS.

The Company's Chief Executive Officer and Chief Financial Officer, have evaluated, or caused to be evaluated under their supervision, the effectiveness of the Company's internal control over financial reporting and disclosure controls and procedures as at December 31, 2011 and have concluded that such controls and procedures are effective.

In addition, there have been no changes in the Company's internal control over financial reporting that occurred during the period beginning on January 1, 2011 and ended on December 31, 2011 that have materially affected, or are reasonably likely to materially affect, the Company's internal control over financial reporting.

INTERNATIONAL FINANCIAL REPORTING STANDARDS

These are the first audited annual consolidated financial statements that comply with IFRS. The accounting policies set out in Note 3 of the consolidated financial statements have been applied in preparing the consolidated financial statements for the year ended December 31, 2011, the comparative information presented in these consolidated financial statements for the year ended December 31, 2010, and in the preparation of the opening consolidated balance sheets at January 1, 2010.

First-time adopters of IFRS must apply the provisions of IFRS 1. IFRS 1 requires adopters to retrospectively apply all effective IFRS standards as of the reporting date (December 31, 2011) with certain optional exemptions and certain mandatory exceptions. The IFRS 1 optional exemptions and mandatory exceptions applied in the conversion from previous Canadian GAAP to IFRS are outlined below.

An explanation of how the transition from Canadian GAAP to IFRS has affected the Company's financial position and financial performance, and cash flows, is set out in the following reconciliations and the explanatory notes that accompany the reconciliations. Reconciliations of the consolidated statements of earnings, comprehensive income and shareholders' equity for the respective periods are below. Changes to the cash flows were not material as a result of the conversion to IFRS.

IFRS 1 Optional Exemptions

Business Combinations

IFRS 1 provides an exemption that allows an entity to elect not to retrospectively restate business combinations prior to the transition date in accordance with IFRS 3 *Business Combinations*. The retrospective basis would require restatement of all business combinations that occurred prior to the transition date. The Company elected not to retrospectively apply IFRS 3 to business combinations that occurred prior to the transition date and such business combinations have not been restated. Any goodwill arising on such business combinations prior to the transition date has not been adjusted from the carrying value previously determined under Canadian GAAP.

Fair Value as Deemed Cost

IFRS 1 allows an entity to elect to measure property and equipment at fair value in the opening IFRS statement of financial position. Fair value would then become the deemed cost of the item. Alternatively, an entity can retrospectively apply the historical cost model in IAS 16 *Property, Plant and Equipment*, to arrive at the carrying value of property and equipment at the transition date. The Company elected to retrospectively apply the historical cost model for property and equipment on the transition date, resulting in no IFRS impact to shareholders' equity.

Management's Discussion and Analysis

Employee Benefits

IFRS 1 provides the option to retrospectively apply the corridor approach under IAS 19 *Employee Benefits*, for the recognition of actuarial gains and losses, or recognize all cumulative gains and losses deferred under previous Canadian GAAP in opening retained earnings at the transition date. The Company elected to recognize all cumulative actuarial gains and losses that existed on the transition date in opening retained earnings for all of its employee benefit plans.

Cumulative Currency Translation Differences

Retrospective application of IFRS would require the Company to determine cumulative currency translation differences in accordance with IAS 21 *The Effects of Changes in Foreign Exchange Rates*, from the date a foreign subsidiary or associate was formed or acquired. IFRS 1 allows an entity to elect not to calculate the translation differences retrospectively and to reset cumulative translation gains and losses to zero at the transition date. The Company elected to reset all cumulative translation gains and losses that existed in the cumulative translation adjustment ("CTA") to zero in opening retained earnings at the transition date. The CTA balance as of January 1, 2010 of $48.8 million was recorded as an adjustment to retained earnings, with an offset to accumulated other comprehensive income resulting in no impact on total shareholders' equity.

Decommissioning Liabilities Included in the Cost of Property, Plant and Equipment

IFRS 1 allows an entity to elect not to retrospectively apply the requirements of International Financial Reporting Interpretation Commission ("IFRIC") 1 *Changes in Existing Decommissioning, Restoration and Similar Liabilities* The Company elected not to retrospectively recognize changes to these liabilities under IFRIC 1 that may have occurred prior to the transition date.

Borrowing Costs

IAS 23 *Borrowing Costs* requires an entity to capitalize borrowing costs relating to qualifying assets. Under IFRS 1, an entity may elect to apply the transitional provisions of IAS 23, which allow an entity to choose the date to apply the capitalization of borrowing costs relating to all qualifying assets as either the transition date or an earlier date. The Company elected to apply the transitional provisions of IAS 23 and chose the transition date as the date to commence the capitalization of borrowing costs to all qualifying assets.

IFRS 1 Mandatory Exceptions

Hedge Accounting

Hedge accounting may only be applied prospectively from the transition date to transactions that meet the hedge accounting criteria in IAS 39 *Financial Instruments – Recognition and Measurement*, at that date. Hedging relationships cannot be designated retrospectively and the supporting documentation cannot be created retrospectively. The Company designated all hedges appropriately under IFRS as of the transition date.

Estimates

Estimates previously determined under Canadian GAAP cannot be revised due to the application of IFRS except where necessary to reflect differences in accounting policies.

Reconciliations of Canadian GAAP to IFRS

In preparing its opening IFRS consolidated financial statements, the Company has adjusted amounts reported previously in financial statements prepared in accordance with Canadian GAAP. A summary of how the transition from Canadian GAAP to IFRS has affected the Company's financial position and financial performance is set out below. For further detail on the transitional adjustments from Canadian GAAP to IFRS see Note 22 in the consolidated financial statements for the year ended December 31, 2011.

Management's Discussion and Analysis

Reconciliation of Shareholders' Equity as Reported under Canadian GAAP to Total Equity under IFRS

The following is a reconciliation of the Company's shareholders' equity reported in accordance with Canadian GAAP to its total equity in accordance with IFRS:

($ thousands)	December 31, 2010	January 1, 2010
Shareholders' equity under Canadian GAAP	$ 785,846	$ 747,087
Differences increasing (decreasing) reported shareholders' equity:		
Property and equipment	(5,577)	(5,454)
Impairment of goodwill	(111,618)	(119,078)
Employee benefits	(39,210)	(31,558)
Capitalization of borrowing costs	417	–
Deferred income taxes	9,137	9,303
Shareholders' equity under IFRS	**$ 638,995**	**$ 600,300**

Reconciliation of net earnings as reported under Canadian GAAP to IFRS

Year ended December 31 *($ thousands)*	2010
Net earnings under Canadian GAAP	$ 60,975
Differences increasing (decreasing) reported net earnings:	
Depreciation of asset components	(83)
Leasehold improvements	(234)
Capitalization of borrowing costs	417
Employee benefits	1,382
Income taxes	(385)
Net earnings under IFRS	**$ 62,072**

Reconciliation of comprehensive income as reported under Canadian GAAP to IFRS

Year ended December 31 *($ thousands)*	2010
Comprehensive income under Canadian GAAP	$ 44,859
Differences increasing reported amount:	
Differences in net earnings	1,097
Leasehold improvements	194
Impairment of goodwill	7,460
Employee benefits	(8,815)
Comprehensive income under IFRS	**$ 44,795**

Management's Discussion and Analysis

NON-IFRS FINANCIAL MEASURES

The Company uses the following non-IFRS measures: Adjusted Operating Earnings, Adjusted EPS, Net Debt and Return on Net Assets ("RONA"). Management believes that these non-IFRS measures provide useful information to both Management and investors in measuring the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by IFRS and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with IFRS.

Adjusted Operating Earnings

The following table reconciles earnings from operations before restructuring and other related costs and other income (expense) to net earnings as reported under IFRS in the consolidated statements of earnings for the years ended as indicated below. Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs and other income (expense) are not representative of operational results.

	December 31, 2011			
($ thousands)	Fresh Bakery	Frozen Bakery	Unallocated costs	Consolidated
Net earnings				$ 51,951
Income taxes				10,845
Earnings from operations before income taxes				$ 62,796
Interest expense				1,052
Earnings from operations before interest and income taxes	$ 85,046	$ (21,198)	$ –	$ 63,848
Other (income) expense	(49)	(365)	–	(414)
Restructuring and other related costs	14,860	31,497	–	46,357
Adjusted Operating Earnings	$ 99,857	$ 9,934	$ –	$ 109,791

	December 31, 2010			
($ thousands)	Fresh Bakery	Frozen Bakery	Unallocated costs	Consolidated
Net earnings				$ 62,072
Income taxes				25,212
Earnings from operations before income taxes				$ 87,284
Interest expense				2,891
Earnings from operations before interest and income taxes	$ 87,639	$ 8,412	$ (5,876)	$ 90,175
Other (income) expense	(57)	–	5,876	5,819
Restructuring and other related costs	12,598	2,950	–	15,548
Adjusted Operating Earnings	$ 100,180	$ 11,362	$ –	$ 111,542

Management's Discussion and Analysis

($ thousands)	December 31, 2009[(i)] Fresh Bakery	Frozen Bakery	Unallocated costs	Consolidated
Net earnings				$ 77,478
Income taxes				35,506
Earnings from operations before income taxes				$ 112,984
Interest expense				5,084
Earnings from operations before interest and income taxes	$ 88,053	$ 30,015	$ –	$ 118,068
Other (income) expense	109	(2,548)	–	(2,439)
Restructuring and other related costs	3,373	1,535	–	4,908
Adjusted Operating Earnings	$ 91,535	$ 29,002	$ –	$ 120,537

(i) 2009 figures are in accordance with Canadian GAAP, effective on or before January 1, 2010.

Adjusted Earnings per Share

The following table reconciles Adjusted Earnings per Share to basic earnings per share as reported under IFRS in the consolidated statements of earnings for the years ended as indicated below. Management believes this is the most appropriate basis on which to evaluate financial results as restructuring and other related costs are not representative of operational results.

($ per share)	December 31, **2011**	2010	2009[(iii)]
Basic earnings per share	**$ 2.04**	$ 2.44	$ 3.05
Restructuring and other related costs[(i)]	**1.39**	0.46	0.15
Adjusted Earnings per Share [(ii)]	**$ 3.43**	$ 2.90	$ 3.20

(i) Includes per share impact of restructuring and other related costs, net of tax.

(ii) May not add due to rounding.

(iii) 2009 figures are in accordance with Canadian GAAP, effective on or before January 1, 2010.

Net Debt (Cash)

The following table reconciles net debt as disclosed in this Management's Discussion and Analysis to IFRS amounts in the audited consolidated balance sheets as at the dates indicated below. The Company calculates net debt as long-term debt and bank indebtedness, less cash and cash equivalents.

($ thousands)	December 31, **2011**	2010	2009[(i)]
Bank indebtedness	**$ 3,153**	$ 7,777	$ 4,247
Current portion of long-term debt	**2,452**	2,332	–
Long-term debt	**1,634**	1,629	2,547
Sub-total	**$ 7,239**	$ 11,738	$ 6,794
Cash and cash equivalents	**(59,223)**	(84,401)	(57,698)
Net Debt (Cash)	**$ (51,984)**	$ (72,663)	$ (50,904)

(i) 2009 figures are in accordance with Canadian GAAP, effective on or before January 1, 2010.

Management's Discussion and Analysis

Return on Net Assets

Return on Net Assets is calculated by dividing tax-effected earnings from operations before restructuring and other related costs and interest by average monthly net assets. Net assets are defined as total assets less cash, future tax assets and non-interest bearing liabilities. Management believes that RONA is an appropriate basis upon which to evaluate long-term financial performance.

Earnings before Interest, Tax Depreciation and Amortization

EBITDA is calculated as earnings from operations before restructuring and other related costs and before interest and income taxes plus depreciation and intangible asset amortization. The Company measures its credit quality using a number of metrics, primarily net debt to EBITDA and EBITDA to interest expense.

FORWARD-LOOKING STATEMENTS

This document contains, and the Company's oral and written public communications often contain, "forward-looking information" within the meaning of applicable securities laws. These statements are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking information in this document includes, but is not limited to, statements concerning expectations regarding actions to reduce costs and improve efficiencies, restore volumes and/or increase prices, timing of promotional investment, improving business trends, expected duplicative overhead costs incurred due to the concurrent operation of the new Hamilton fresh bakery and existing bakeries, expectations regarding the timing and amount of capital investments; expectations regarding the timing and cost of plant closures; the expected use of cash balances, source of funds for ongoing business requirements, capital investments and debt repayment, and expectations regarding sufficiency of the allowance for uncollectible accounts. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate" and variations of such words and similar expressions are intended to identify such forward-looking information. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, U.S. and U.K. economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking information, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking information include, among other things:

- the risks associated with changes in the Company's shared systems and processes
- the Company's exposure to currency exchange risks
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options
- the impact of international events on commodity prices and the free flow of goods
- the risks associated with a consolidating retail environment
- the risks posed by food contamination, consumer liability and product recalls

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- the risks related to acquisitions and capital expansion projects
- the risks posed by compliance with extensive government regulation
- the risks posed by litigation
- the impact of changes in consumer tastes and buying patterns
- the impact of extensive environmental regulation and potential environmental liabilities
- the risks associated with complying with differing employment laws and practices globally, the potential for work stoppages due to non-renewal of collective agreements and recruiting and retaining qualified personnel
- the impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates
- the risks associated with the Company's independent distributors
- the risks posed by competition
- the risks associated with pricing the Company's products
- the risks associated with managing the Company's supply chain
- the risks associated with failing to identify and manage the strategic risks facing the Company.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" presented previously in this document. The reader should review such section in detail. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking information, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.

Canada Bread Company Limited, which is 90.0% owned by Maple Leaf Foods Inc. (TSX:MFI), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2011 sales of $1.6 billion and employs approximately 6,000 people at its operations across North America and in the United Kingdom.